

PART IV: THE PUBLIC INTEREST

CHAPTER 14. CONCLUSIONS AS TO THE CONDITIONS DEFINED IN THE ACT

617. We are required to report whether the conditions to which the Act of 1948 (as amended) applies prevail as respects the supply of each of eight classes of electrical equipment for land vehicles. The conditions to which the Act applies in relation to the supply of goods of any description prevail if at least one-third of those goods supplied in the United Kingdom are supplied by or to (a) one person or two or more interconnected bodies corporate, or (b) two or more persons who (other than by an agreement which is required to be registered with the Registrar of Restrictive Trading Agreements) so conduct their respective affairs as in any way to prevent or restrict competition in connection with the production or supply of any of the goods.

618. The only registered agreement of any significance for the purposes of this report is the Constitution of the British Starter Battery Association (B.S.B.A.) (see paragraphs 230 to 241). This agreement was brought to an end on 30th April, 1960, when the Association was dissolved. The constitution and regulations of the successor association, the British Starter Battery Association (1960), have not been registered. We have no authority to determine whether or not an agreement which has not been registered is registrable under the 1956 Act, but in forming our conclusions we have taken this latter agreement into account.

619. We obtained details of their sales of reference goods in each of the seven years 1954 to 1960 from nearly all the larger manufacturers. In the case of Smiths, however, for the reasons given in paragraph 698, the information obtained was more limited, particularly in regard to class (vi). Returns from the small manufacturers and from importers were generally confined to the years 1956, 1959 and 1960. The total sales figures for these three years, together with those of the only supplier in each class who may supply more than one-third of the total, are set out in the table below

	1956	1959	1960
	£'000	£'000	£'000
<i>Class (i) : Batteries</i>			
Total supplies ...	15,116	17,676	20,684
Supplied by Chloride ...	6,207	7,383	8,577
	(41.1 per cent.)	(41.8 per cent.)	(41.5 per cent.)
<i>Class (ii) : Ignition Coils, etc.</i>			
Total supplies ...	3,916	3,922	4,647
Supplied by Lucas ...	3,168	2,877	3,668
	(80.9 per cent.)	(73.4 per cent.)	(78.9 per cent.)
<i>Class (iii) : Dynamos, etc.</i>			
Total supplies ...	12,133	13,041	16,624
Supplied by Lucas ...	11,464	12,300	15,775
	(94.5 per cent.)	(94.3 per cent.)	(94.9 per cent.)

	1956 £'000	1959 £'000	1960 £'000
<i>Class (iv) : Windscreen-wiper Motors</i>			
Total supplies ...	1,378	1,949	2,570
Supplied by Lucas	1,255	1,454	2,032
	(91.1 per cent.)	(74.6 per cent.)	(79.1 per cent.)
<i>Class (v) : Heater Devices</i>			
Total supplies ...	764	1,183	1,635
Supplied by Smiths	589	939	1,245
	(77.1 per cent.)	(79.4 per cent.)	(76.1 per cent.)
<i>Class (vi) : Instruments</i>			
Total supplies ...	N/A	2,295	3,026
Supplied by Smiths	N/A	1,349	1,969
		(58.8 per cent.)	(65.1 per cent.)
<i>Class (vii) : Lamps, etc.</i>			
Total supplies ...	9,977	11,932	15,056
Supplied by Lucas	7,942	9,954	12,818
	(79.6 per cent.)	(83.4 per cent.)	(85.1 per cent.)
<i>Class (viii) : Plugs</i>			
Total supplies ...	1,998	2,343	2,566
Supplied by Champion	1,275	1,575	1,827
	(63.8 per cent.)	(67.2 per cent.)	(71.2 per cent.)

620. The supplies in the table above are valued at the manufacturers' or importers' net selling prices. We are aware that values so computed may not afford an entirely satisfactory criterion for measuring the shares of the various suppliers, since identical articles are sold by the manufacturers at widely varying prices. We do not regard any alternative method of valuation—such as estimating all sales at wholesale purchase price—as practicable. Nor, except in class (viii), is quantity a practicable or desirable alternative criterion since, subject to that exception, each class covers a wide range of types and/or sizes of products and in many cases it would be impossible in any event to ascertain the numbers of articles sold. For these reasons, except for class (viii), we regard the value figures given above as the only reasonable criterion available to us. In class (viii), however, of which sparking plugs form the greater part, manufacturers' selling prices, as our report shows, vary extremely widely. Since sparking plugs are relatively uniform in type and size and most of the principal manufacturers keep records of the numbers of plugs sold, we think it appropriate to consider sales of plugs by number as well as value. We estimate that in 1959 the total number of plugs supplied was 25.0 million, of which Champion supplied 17.4 million, or about 70 per cent.

621. We conclude therefore that the conditions to which the Act applies prevail as regards supply in each of the eight classes; in class (i) Chloride, in classes (ii), (iii), (iv) and (vii) Lucas, in classes (v) and (vi) Smiths, and in class (viii) Champion are responsible for more than one-third of the goods supplied.

622. Although we have obtained certain estimates from vehicle manufacturers we have no accurate figures of their individual purchases of

reference goods. Both B.M.C. and Ford are responsible for a high proportion of the total output of vehicles and it is likely that in some years one or both of them may buy more than one-third of the reference goods sold for initial equipment in one class or another. In classes (i) and (viii), where there is a large replacement trade, it is clear that neither of these companies would be likely to buy as much as one-third of the total supplies but either company may on occasion buy more than one-third of the total in one or more of the other classes. We think it unlikely, however, that either company has done so year after year, and we do not find that there is any additional ground for our conclusions as to any of the classes by reason of the proportion of total supplies which is supplied to any one person.

623. As we have shown elsewhere in this report, practically all reference goods supplied by the manufacturers for resale are supplied on condition that the first purchaser and each subsequent purchaser shall observe the manufacturer's prices, terms and conditions on resale. Exceptionally, some of the smaller manufacturers of batteries in class (i) do not prescribe or maintain resale prices, but these are responsible for only a very small proportion of all the batteries supplied. Thus, subject to such exceptions, the manufacturers in general and the distributors who resell their products act in such a way as to restrict competition in the supply of goods in all classes. Since the manufacturers concerned are responsible for nearly all the goods supplied in each of the eight classes we conclude that the conditions to which sub-section (2) of Section 3 of the Act applies (being those referred to under (b) in paragraph 617 above) prevail in relation to each class.

624. An additional ground for this conclusion in relation to class (i) is that Chloride, Lucas, Oldham and Smiths individually prescribe retail prices and distributors' discounts which are, in general, uniform for comparable standard batteries, while there are certain other manufacturers who also charge the same retail prices though the discounts they allow are generally different.